

# SchoolStack Budget

Lender-Ready Financial Packet

## Oakwood Learning Studio

5-Year Financial Model  
Prepared March 29, 2026

### Lender Readiness: Not Yet Ready

Your model is a solid starting point, and now it's time to refine it. Focus on the high-priority recommendations first, and you'll see real progress. Every great school's financial story started as a first draft.

### Packet Contents

1. Executive Summary
2. School Overview
3. Enrollment Plan
4. Revenue Model
5. Staffing Plan
6. Expense Summary
7. Capital & Debt
8. 5-Year Financial Projection
9. Cash Flow Analysis
10. Debt Service Coverage
11. Stress Testing
12. Lender Readiness
13. Financial Health Assessment
14. Key Risks
15. Appendix: Key Assumptions

This packet is generated from the school's financial model and is intended for lender review.  
All projections are based on assumptions entered by the school founder.

## Executive Summary

Oakwood Learning Studio projects \$404,383 in Year 5 revenue, with 2 of 12 key metrics that need attention. This is a starting point, and working through the recommendations below will help you build the financial story your mission deserves.

- [ ] Lender Readiness: Not Yet Ready
- [ ] Biggest Strength: Strong Year 5 profit
- [ ] Biggest Risk: Operating costs are on the higher side, presenting an opportunity to find efficiencies
- [ ] Cash Runway: 60+ months

## School Overview

Oakwood Learning Studio is a Startup / Pre-Opening Microschool organized as a LLC (Single Member) with a Tuition-Based funding profile.

### Supporting Assumptions

School Stage **Startup / Pre-Opening**  
School Type **Microschool**  
Funding Profile **Tuition-Based**  
Entity Type **LLC (Single Member)**  
State **AZ**  
Opening Year **2026**

## Enrollment Plan

Enrollment starts at 20 students in Year 1 and grows to 40 by Year 5 (100% growth).

### Enrollment by Year

| Year   | Students |
|--------|----------|
| Year 1 | 20       |
| Year 2 | 26       |
| Year 3 | 32       |
| Year 4 | 37       |
| Year 5 | 40       |

### Supporting Assumptions

Year 1 Enrollment **20**  
Year 2 Enrollment **26**  
Year 3 Enrollment **32**  
Year 4 Enrollment **37**  
Year 5 Enrollment **40**

## Revenue Model

The revenue model is tuition-driven (88.6% of Year 1 revenue). Year 1 total revenue is projected at \$202K, growing to \$404K by Year 5.

[ ] Tuition %: 88.6%  
 [ ] Public Funding %: 0.0%  
 [ ] Philanthropy %: 11.4%

## Revenue by Year

| Year   | Total Revenue |
|--------|---------------|
| Year 1 | \$202K        |
| Year 2 | \$254K        |
| Year 3 | \$311K        |
| Year 4 | \$364K        |
| Year 5 | \$404K        |

## Supporting Assumptions

Private Pay / Tuition **\$200K**  
 Registration / Enrollment Fees **\$5K**  
 Scholarships / Financial Aid / Discount Rate **\$8**  
 Donations / Fundraising **\$8K**  
 Startup Grant (Foundation) **\$15K**  
 Facility Rental (Weekend) **\$2K**

## Staffing Plan

Staffing costs are \$89K in Year 1, representing 44.2% of revenue. This leaves healthy room for other operating costs.

[+] Staffing % of Revenue: 44.2%

## Supporting Assumptions

Founder / Lead Teacher **\$58,000, 1 FTE**  
 Assistant Teacher **\$38,000, 1 FTE**  
 Part-Time Aide / Tutor **\$24,000, 0.5 FTE**  
 Bookkeeper (Contract) **\$24,000, 0.15 FTE**

## Expense Summary

Total expenses grow from \$187K in Year 1 to \$254K by Year 5.

## Expenses by Year

| Year   | Staffing | Operating | Debt Service | Total  |
|--------|----------|-----------|--------------|--------|
| Year 1 | \$89K    | \$93K     | \$5K         | \$187K |
| Year 2 | \$159K   | \$79K     | \$5K         | \$242K |
| Year 3 | \$159K   | \$85K     | \$5K         | \$248K |
| Year 4 | \$159K   | \$89K     | \$5K         | \$252K |
| Year 5 | \$159K   | \$91K     | \$5K         | \$254K |

## Capital & Debt

The model includes 1 debt instrument totaling \$20K.

### Supporting Assumptions

SchoolStack Lending Lab Microloan **\$20K at 6.5% for 5 years**

## 5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 net income is projected at \$150K (37.1% margin).

- [+] Revenue per Student (Year 1): \$10,076 (benchmark: Private avg: \$12,000–\$25,000)
- [!] Cost per Student (Year 1): \$9,572 (benchmark: Target: "d 85% of revenue per student)
- [+] Staffing Cost (% of Revenue): 44.2% (benchmark: Industry avg: 50–65% of revenue)
- [!] Operating Cost (% of Revenue): 42.0% (benchmark: Target: under 30% of revenue)
- [+] Profit margin (Year 1): 13.8% (benchmark: Startup target: 0–5%; mature: 10%+)
- [+] Profit margin (Year 5): 33.4% (benchmark: Target: 10–15%+)
- [+] 5-Year Revenue Growth: 100.7% (benchmark: Healthy schools: 30–80% over 5 years)
- [+] Capacity Utilization (Year 5): 88.9% (benchmark: Optimal: 80–95% utilization)

### 5-Year Net Income Projection

| Year   | Students | Revenue | Expenses | Net Income | Margin |
|--------|----------|---------|----------|------------|--------|
| Year 1 | 20       | \$202K  | \$187K   | \$15K      | 7.4%   |
| Year 2 | 26       | \$254K  | \$242K   | \$11K      | 4.5%   |
| Year 3 | 32       | \$311K  | \$248K   | \$63K      | 20.3%  |
| Year 4 | 37       | \$364K  | \$252K   | \$112K     | 30.8%  |
| Year 5 | 40       | \$404K  | \$254K   | \$150K     | 37.1%  |

## Cash Flow Analysis

Cash stays positive throughout the entire 5-year projection.

[ ] Cash Runway: 60+ months

### Cumulative Cash Position

| Year   | Cumulative Net Income | Reserve Months |
|--------|-----------------------|----------------|
| Year 1 | \$28K                 | 1.9 months     |
| Year 2 | \$42K                 | 2.1 months     |
| Year 3 | \$103K                | 4.9 months     |
| Year 4 | \$206K                | 9.5 months     |
| Year 5 | \$341K                | 15.2 months    |

## Debt Service Coverage

DSCR is above 1.25x, and your operating income comfortably covers debt payments. Current DSCR is 2.57x.  
Benchmark: Healthy minimum: 1.25x.

- [+] Debt Service Coverage Ratio (Year 1): 2.57x (benchmark: Healthy minimum: 1.25x)
- [-] Year 1 Reserve Months: 1.9 months (benchmark: Target: 3+ months)
- [-] Year 2 Reserve Months: 2.1 months (benchmark: Target: 3+ months)
- [+] Year 3 Reserve Months: 4.9 months (benchmark: Target: 3+ months)
- [+] Year 4 Reserve Months: 9.5 months (benchmark: Target: 3+ months)
- [+] Year 5 Reserve Months: 15.2 months (benchmark: Target: 3+ months)

### DSCR Summary

Current DSCR: **2.57x**

Benchmark: **Healthy minimum: 1.25x**

Trend: **DSCR is above 1.25x, and your operating income comfortably covers debt payments.**

### Operating Reserve Analysis

| Year   | Reserve Months | Status       |
|--------|----------------|--------------|
| Year 1 | 1.9 months     | Below Target |
| Year 2 | 2.1 months     | Below Target |
| Year 3 | 4.9 months     | Adequate     |
| Year 4 | 9.5 months     | Adequate     |
| Year 5 | 15.2 months    | Adequate     |

## Stress Testing

All 5 stress scenarios maintain positive Year 5 net income, indicating financial resilience.

### Stress Test Results

| Scenario                      | Y1 Net Income | Y5 Net Income | Break-Even |
|-------------------------------|---------------|---------------|------------|
| Enrollment 20% Below Plan     | \$-2K         | \$62K         | Year 3     |
| Loss of Philanthropy          | \$5K          | \$132K        | Year 1     |
| Occupancy +15%, Personnel +5% | \$21K         | \$123K        | Year 1     |
| Revenue Delayed 3 Months      | \$-19K        | \$41K         | Year 4     |
| Interest Rate +2%             | \$28K         | \$135K        | Year 1     |

## Lender Readiness

Lender Readiness: Not Yet Ready. Your model is a solid starting point, and now it's time to refine it. Focus on the high-priority recommendations first, and you'll see real progress. Every great school's financial story started as a first draft.

## Financial Health Assessment

Across 8 health dimensions: 7 healthy, 1 on watch, 0 at risk.

- [+] viability: Healthy
- [+] liquidity: Healthy
- [+] staffing burden: Healthy
- [+] facility burden: Healthy
- [+] debt affordability: Healthy
- [+] revenue concentration: Healthy
- [~] days cash: Watch closely
- [+] reserve strength: Healthy

### Health Dimensions

| Dimension             | Status        | Details                                                                                                                                                                 |
|-----------------------|---------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Viability             | Healthy       | The model reaches profit early and sustains strong margins through Year 5.                                                                                              |
| Liquidity             | Healthy       | Cash stays positive throughout the projection and reserves exceed 3 months of expenses.                                                                                 |
| Staffing Burden       | Healthy       | Staffing at 44% of revenue leaves room for facilities, programs, and reserves.                                                                                          |
| Facility Burden       | Healthy       | Facility costs at 11% of revenue are well-managed and leave budget for programs.                                                                                        |
| Debt Affordability    | Healthy       | DSCR of 2.57x provides comfortable coverage of debt payments with room to spare.                                                                                        |
| Revenue Concentration | Healthy       | Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand. |
| Days Cash             | Watch closely | 58 days of cash on hand is above the minimum but below the 90-day target. A large unexpected cost could create a cash crunch.                                           |
| Reserve Strength      | Healthy       | 15.2 months of reserves by Year 5 — a strong buffer for unexpected costs.                                                                                               |

## Key Risks

2 risk factors have been identified. None are rated critical, but each should have a documented mitigation plan.

- [+] Enrollment growth needs demand evidence: medium
- [+] Staffing costs growing faster than enrollment: medium

### MEDIUM

#### Enrollment growth needs demand evidence

Demand is the engine of your financial model. Every revenue line, staffing decision, and cost assumption depends on filling seats. If enrollment falls short, the entire model breaks downstream.

Evidence: Year 1: 20 students | Year 2: 26 students | Year 3: 32 students | Year 4: 37 students | Year 5: 40 students | Capacity: 45

**Mitigation:** Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.

### MEDIUM

#### Staffing costs growing faster than enrollment

Hiring ahead of demand locks in fixed costs before the revenue to support them arrives. If enrollment doesn't materialize as planned, staffing becomes an unsustainable burden.

Evidence: Year 2 enrollment: 26 students | Year 2 staffing cost: \$163,374

**Mitigation:** Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps.

- [+] Enrollment growth needs demand evidence: medium
- [+] Staffing costs growing faster than enrollment: medium

See Appendix for complete assumption details.

## Appendix: Key Assumptions

Complete list of 20 assumptions used in this financial model.

### Supporting Assumptions

School Name **Oakwood Learning Studio**  
School Type **Microschool**  
Entity Type **LLC (Single Member)**  
Funding Profile **Tuition-Based**  
State **AZ**  
Year 1 Enrollment **20**  
Year 2 Enrollment **26**  
Year 3 Enrollment **32**  
Year 4 Enrollment **37**  
Year 5 Enrollment **40**  
... and 10 more (see Appendix)